

Most of the strategies will get rejected based on the results generated in backtesting. We will see that most of them do not add up and the value of Rs. 1000 will go down after some time. An important point here is to make sure that we reflect the impact of brokerages on each trade. Let us say our brokerage is 0.1% every time we buy and sell an asset. So, we will make sure that we deduct $0.1\% \times 2 = 0.2\%$ from the result of every trade that we entered while back-testing the strategy.

Very few strategies will pass this process. But the ones that do, are now ready to be tested in the market. These are generally ones that seem to be working. So, we will now try to apply these strategies in the market with a very small amount for a few months (2-3 months). We will try with amounts that are insignificant to our overall portfolio and experiment with them. If the results here too seem to be fine, then we will take the strategy and get it into our trading system. We will have to now make changes to our system to accommodate the new strategy that we have added.

